Daiwa Capital Markets Hong Kong Limited

Accton Technology (2345 TT)

Target price: **TWD3,000.00** (from TWD3,666.00)

Share price (12 Nov): **TWD1,525.00** | Up/downside: **+96.7%**

5 4 3 2 **1**

Buy (unchanged)

3Q26 review: gross margin dilution on memory costs

- Fundamentals largely on track with our prior estimates
- Recent pullbacks provide good entry points to build positions
- Reaffirming our Buy (1) rating; lowering 12M TP to TWD3,000

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What's new: We review Accton's 3Q26 results, released on 12 November.

What's the impact: 3Q26 results beat/miss expectations. Accton's 3Q26 net profit came in at TWD13.1bn (EPS: TWD23.3), in line with our estimate (TWD13.0bn) but 6% lower than the Bloomberg consensus (TWD13.9bn). Revenue was TWD120.7bn (+26% QoQ, 66% YoY), higher than our/BBG estimates by 13%/2%, mainly due to increasing AI card contribution for Trainium 3. Nonetheless, gross margin fell by 2.1pp QoQ to 17.6% (vs. our 19.1% estimate), reflecting rising material costs (especially from memory). Consequently, OPM declined by 1.6pp to 13.4% (vs. our 15.1% estimate), which was slightly offset by better operating leverage.

Business outlook. We believe gross margin is likely the key highlight of the 3Q26 results. Per management, gross margin was diluted due to rising memory costs. As such, Accton has shifted its business model from "Buy-&-Sell" to consignment from September. Since then, we see gross margin gradually recovering back to the 20% level. Looking into 4Q26, we believe Accton could sustain the gross margin, but the networking chipset shortage might weigh on revenue momentum in the short term. The alternative is that one of the key switch clients could shift its orders slightly towards Spectrum first to ease the near-term shortage issue, in our view. As for the AI card business, we believe the total shipment has been largely stable since 3Q26. Even when the end-client gradually shifts its product mix from air-cooled to the liquid-cooled version, we believe the rising content from the liquid-cooled version should be able to offset the slightly lower ASP per chipset given there are more chipsets (4x vs. 2x from air-cooled) on an ASIC AI motherboard. Looking into 2027, we maintain our original view that total AMZN ASIC units will grow c.30% YoY to c.3m as the first growth drivers. On top of this, the liquid-cooled version has adopted the PCIE scale-up switch, which can expand TAM for Accton, in our view. Lastly, for the top-of-rack (ToR) switches, we expect 800G switches to remain the mainstream models in 2027 but with rising enterprise usage, which could likely be the next growth driver in 2027.

What we recommend: We raise our 2026-28E EPS by 6-12% to factor in higher ToR switch revenue. We reaffirm our Buy (1) rating, but lower our 12M TP to TWD3,000 (prior: TWD3,666), based on a target PER multiple of 24x (prior: 35x, within its past-3-year range of 10-33x), applied to our 1-year forward EPS forecast, to reflect the weaker market sentiment. Key downside risk: lower-than-expected ASIC server and switch demand.

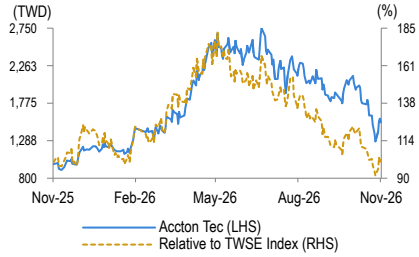
How we differ: Our 2027E EPS is 5% higher than the Bloomberg consensus, likely due to our more positive view on operating leverage.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	9.8	5.0	2.3
Net profit change	6.3	10.1	12.1
Core EPS (FD) change	6.3	10.1	12.1

Source: Daiwa forecasts

Share price performance



12-month range	907.00-2,750.00
Market cap (USDbn)	26.02
3m avg daily turnover (USDm)	231.82
Shares outstanding (m)	561
Major shareholder	Chin Chieh Min Co. Ltd (8.1%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	411,504	545,306	734,056
Operating profit (m)	59,725	86,204	121,928
Net profit (m)	48,010	69,130	97,160
Core EPS (fully-diluted)	85.561	123.201	173.155
EPS change (%)	82.3	44.0	40.5
Daiwa vs Cons. EPS (%)	(0.1)	4.5	0.2
PER (x)	17.8	12.4	8.8
Dividend yield (%)	1.0	1.4	1.4
DPS	15.0	22.0	22.0
PBR (x)	9.6	5.9	3.7
EV/EBITDA (x)	12.6	8.2	5.2
ROE (%)	65.3	58.6	51.5

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 6

Flash

Accton: revenue and earnings forecasts vs. the consensus

	2026E			2027E			2028E		
(TWDm)	Previous	New	Consensus	Previous	New	Consensus	Previous	New	Consensus
Revenue	374,820	411,504	408,895	519,281	545,306	540,709	717,767	734,056	763,123
Diff (%)		**9.8%**	**0.6%**		**5.0%**	**0.9%**		**2.3%**	**-3.8%**
Gross Margin (%)	19.3%	19.0%	19.1%	18.9%	19.7%	19.1%	18.6%	19.8%	19.5%
Operating profit	55,859	59,725	59,940	78,396	86,204	82,500	108,615	121,928	121,548
Op Margin (%)	14.9%	14.5%	14.7%	15.1%	15.8%	15.3%	15.1%	16.6%	15.9%
Net profit	45,160	48,010	48,059	62,762	69,130	66,137	86,639	97,160	96,960
EPS (TWD)	80.48	85.56	85.65	111.85	123.20	117.87	154.40	173.15	172.80
Diff (%)		**6.3%**	**-0.1%**		**10.1%**	**4.5%**		**12.1%**	**0.2%**

Source: Bloomberg, Daiwa forecasts

Accton: quarterly and annual P&L highlights

	2026E				2027E							
(TWDm)	1Q	2Q	3Q	4QE	1QE	2QE	3QE	4QE	2025	2026E	2027E	2028E
Net revenue	**70,121**	**95,538**	**120,744**	**125,102**	**122,622**	**137,839**	**141,355**	**143,490**	**248,320**	**411,504**	**545,306**	**734,056**
COGS	-56,412	-76,720	-99,471	-100,625	-98,712	-110,893	-113,299	-114,993	-203,401	-333,228	-437,897	-588,747
Gross profit	**13,701**	**18,823**	**21,284**	**24,477**	**23,910**	**26,946**	**28,057**	**28,496**	**44,886**	**78,285**	**107,409**	**145,309**
Operating expenses	-3,652	-4,491	-5,162	-5,254	-5,175	-5,321	-5,357	-5,352	-12,752	-18,534	-21,205	-23,381
Operating profit	**10,049**	**14,331**	**16,122**	**19,223**	**18,735**	**21,626**	**22,699**	**23,144**	**32,135**	**59,725**	**86,204**	**121,928**
Non-operating profit	313	237	94	195	189	174	163	188	782	839	714	710
Pre-tax profit	**10,362**	**14,568**	**16,216**	**19,417**	**18,924**	**21,799**	**22,862**	**23,332**	**32,917**	**60,563**	**86,917**	**122,638**
Income taxes	-2,029	-3,521	-3,151	-3,883	-3,880	-4,469	-4,687	-4,783	-6,611	-12,584	-17,818	-25,509
Net profit	**8,341**	**11,053**	**13,074**	**15,542**	**15,053**	**17,338**	**18,183**	**18,557**	**26,342**	**48,010**	**69,130**	**97,160**
Net EPS (TWD)	**14.87**	**19.70**	**23.30**	**27.70**	**26.83**	**30.90**	**32.41**	**33.07**	**46.95**	**85.56**	**123.20**	**173.15**
Operating Ratios												
Gross margin	19.5%	19.7%	17.6%	19.6%	19.5%	19.5%	19.8%	19.9%	18.1%	19.0%	19.7%	19.8%
Operating margin	14.3%	15.0%	13.4%	15.4%	15.3%	15.7%	16.1%	16.1%	12.9%	14.5%	15.8%	16.6%
Pre-tax margin	14.8%	15.2%	13.4%	15.5%	15.4%	15.8%	16.2%	16.3%	13.3%	14.7%	15.9%	16.7%
Net margin	11.9%	11.6%	10.8%	12.4%	12.3%	12.6%	12.9%	12.9%	10.6%	11.7%	12.7%	13.2%
YoY (%)												
Net revenue	64%	58%	66%	74%	75%	44%	17%	15%	125%	66%	33%	35%
Gross profit	59%	73%	70%	90%	75%	43%	32%	16%	97%	74%	37%	35%
Operating profit	70%	77%	79%	111%	86%	51%	41%	20%	136%	86%	44%	41%
Pre-tax profit	65%	120%	67%	88%	83%	50%	41%	20%	118%	84%	44%	41%
Net profit	63%	120%	67%	86%	80%	57%	39%	19%	120%	82%	44%	41%
QoQ (%)												
Net revenue	-3%	36%	26%	4%	-2%	12%	3%	2%				
Gross profit	6%	37%	13%	15%	-2%	13%	4%	2%				
Operating profit	10%	43%	12%	19%	-3%	15%	5%	2%				
Pre-tax profit	0%	41%	11%	20%	-3%	15%	5%	2%				
Net profit	0%	33%	18%	19%	-3%	15%	5%	2%				

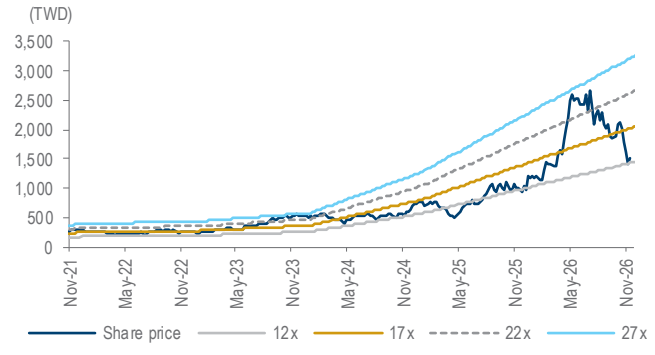
Source: Company, Daiwa forecasts

Accton: 3Q26 result highlights

(TWDm)	Actual	QoQ%	YoY%	Daiwa	Diff %	Consensus	Diff %
Revenues	120,744	26%	66%	106,949	13%	118,254	2%
Gross profit	21,284	13%	70%	20,441	4%	22,176	-4%
Gross margin (%)	17.6%		.	19.1%		18.8%	
Operating profit	16,122	12%	79%	16,163	0%	17,186	-6%
Operating margin (%)	13.4%			15.1%		14.5%	
Pre-tax profit	16,216	11%	67%	16,416	-1%	17,358	-7%
Net profit	13,074	18%	67%	12,977	1%	13,890	-6%
EPS (TWD)	23.30	18%	67%	23.13	1%	24.76	-6%

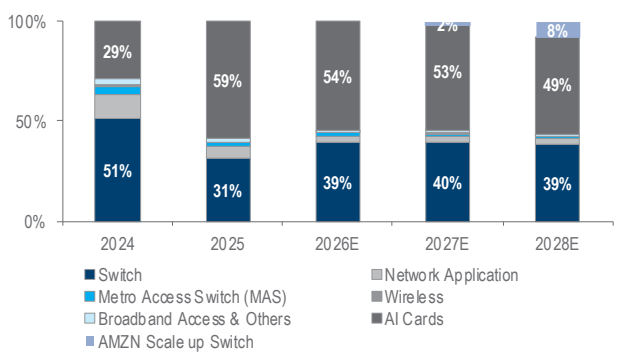
Source: Company data, Daiwa forecasts, Bloomberg

Accton: 1-year forward PER bands



Source: TEJ, Daiwa forecasts

Accton: revenue breakdown by product



Source: Company, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Switch Shipment (k units)	3,053.0	3,538.1	4,035.6	4,381.5	4,739.1	5,125.9	5,544.3	5,996.8
Network Application Shipment (k units)	2,417.5	2,891.4	3,638.9	4,160.1	4,814.8	5,572.4	6,449.3	7,464.2
Switch ASP (USD)	463.8	451.4	506.6	454.6	573.2	1,103.6	1,364.1	1,664.4

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Switch	40,359	45,521	58,270	56,763	77,426	161,230	215,546	284,457
Network Application	10,916	20,472	17,468	13,043	14,560	15,351	16,854	18,616
Other Revenue	8,323	11,212	8,450	40,618	156,334	234,923	312,905	430,983
Total Revenue	**59,599**	**77,205**	**84,188**	**110,425**	**248,320**	**411,504**	**545,306**	**734,056**
Other income	0	0	0	0	0	0	0	0
COGS	(48,254)	(60,687)	(64,926)	(87,647)	(203,433)	(333,219)	(437,897)	(588,747)
SG&A	(3,236)	(3,913)	(3,981)	(4,474)	(5,782)	(7,912)	(8,785)	(9,931)
Other op.expenses	(2,668)	(2,973)	(3,781)	(4,702)	(6,970)	(10,649)	(12,420)	(13,450)
Operating profit	**5,441**	**9,633**	**11,501**	**13,601**	**32,135**	**59,725**	**86,204**	**121,928**
Net-interest inc./(exp.)	(10)	111	566	782	987	638	594	590
Assoc/forex/extraord./others	300	532	(335)	750	(205)	201	120	120
Pre-tax profit	**5,731**	**10,276**	**11,732**	**15,134**	**32,917**	**60,563**	**86,917**	**122,638**
Tax	(1,026)	(2,110)	(2,812)	(3,135)	(6,611)	(12,584)	(17,818)	(25,509)
Min. int./pref. div./others	0	0	0	1	36	31	31	31
Net profit (reported)	**4,705**	**8,166**	**8,920**	**12,000**	**26,342**	**48,010**	**69,130**	**97,160**
Net profit (adjusted)	**4,705**	**8,166**	**8,920**	**12,000**	**26,342**	**48,010**	**69,130**	**97,160**
EPS (reported)(TWD)	**8.403**	**14.578**	**15.919**	**21.385**	**46.945**	**85.561**	**123.201**	**173.155**
EPS (adjusted)(TWD)	**8.403**	**14.578**	**15.919**	**21.385**	**46.945**	**85.561**	**123.201**	**173.155**
EPS (adjusted fully-diluted)(TWD)	**8.403**	**14.578**	**15.919**	**21.385**	**46.945**	**85.561**	**123.201**	**173.155**
DPS (TWD)	**6.474**	**5.976**	**7.471**	**9.961**	**10.957**	**15.000**	**22.000**	**22.000**
EBIT	**5,441**	**9,633**	**11,501**	**13,601**	**32,135**	**59,725**	**86,204**	**121,928**
EBITDA	**6,207**	**10,499**	**12,455**	**14,764**	**33,861**	**61,716**	**88,751**	**124,966**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	5,731	10,276	11,732	15,134	32,917	60,563	86,917	122,638
Depreciation and amortisation	767	867	953	1,163	1,727	1,991	2,547	3,038
Tax paid	(1,026)	(2,110)	(2,812)	(3,135)	(6,611)	(12,584)	(17,818)	(25,509)
Change in working capital	(3,574)	(1,670)	2,131	(3,784)	3,360	(11,088)	(7,293)	(10,013)
Other operational CF items	(529)	2,361	6,366	565	3,459	(0)	0	0
Cash flow from operations	**1,368**	**9,723**	**18,371**	**9,942**	**34,852**	**38,882**	**64,354**	**90,153**
Capex	(480)	(952)	(2,245)	(2,762)	(4,894)	(3,704)	(3,272)	(4,404)
Net (acquisitions)/disposals	2,261	(5,108)	(2,276)	629	(12,347)	0	0	0
Other investing CF items	2,119	(45)	(1,146)	2,929	(1,907)	0	0	0
Cash flow from investing	**3,900**	**(6,104)**	**(5,666)**	**796**	**(19,149)**	**(3,704)**	**(3,272)**	**(4,404)**
Change in debt	0	2,325	(2,564)	(338)	(187)	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(3,622)	(3,346)	(4,185)	(5,582)	(6,148)	(8,417)	(12,345)	(12,345)
Other financing CF items	(320)	(261)	(307)	(295)	(327)	4	4	4
Cash flow from financing	**(3,943)**	**(1,282)**	**(7,056)**	**(6,215)**	**(6,663)**	**(8,413)**	**(12,341)**	**(12,340)**
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	**1,325**	**2,336**	**5,649**	**4,523**	**9,041**	**26,766**	**48,741**	**73,409**
Free cash flow	888	8,772	16,126	7,181	29,958	35,179	61,082	85,749

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	7,592	15,015	24,333	25,465	51,463	78,229	126,970	200,379
Inventory	13,246	12,788	13,551	19,371	30,202	40,607	53,362	71,745
Accounts receivable	10,731	13,730	11,722	21,714	38,653	50,019	66,283	89,226
Other current assets	214	349	386	4,089	749	749	749	749
Total current assets	**31,782**	**41,883**	**49,991**	**70,639**	**121,067**	**169,605**	**247,365**	**362,099**
Fixed assets	1,487	1,804	3,181	5,445	9,228	10,940	11,665	13,032
Goodwill & intangibles	109	168	178	1,016	771	771	771	771
Other non-current assets	1,642	2,206	3,225	9,366	12,165	4,572	4,572	4,572
Total assets	**35,021**	**46,061**	**56,576**	**86,467**	**143,231**	**185,887**	**264,372**	**380,473**
Short-term debt	0	0	133	175	333	333	333	333
Accounts payable	11,567	12,478	13,681	25,955	58,486	69,169	90,895	122,207
Other current liabilities	6,076	9,090	15,265	20,790	23,365	23,365	23,365	23,365
Total current liabilities	**17,643**	**21,568**	**29,080**	**46,920**	**82,184**	**92,867**	**114,593**	**145,905**
Long-term debt	1,003	2,605	538	281	84	84	84	84
Other non-current liabilities	822	1,460	1,771	2,831	3,328	3,328	3,328	3,328
Total liabilities	**19,468**	**25,633**	**31,388**	**50,032**	**85,596**	**96,279**	**118,005**	**149,317**
Share capital	5,599	5,601	5,604	5,611	5,611	5,611	5,611	5,611
Reserves/R.E./others	9,954	14,827	19,584	30,715	51,928	83,901	140,660	225,449
Shareholders' equity	**15,553**	**20,428**	**25,188**	**36,327**	**57,540**	**89,512**	**146,271**	**231,060**
Minority interests	0	0	0	108	96	96	96	96
Total equity & liabilities	**35,021**	**46,061**	**56,576**	**86,467**	**143,231**	**185,887**	**264,372**	**380,473**
EV	849,116	843,295	832,043	830,804	804,755	777,989	729,247	655,839
Net debt/(cash)	**(6,588)**	**(12,410)**	**(23,662)**	**(25,010)**	**(51,046)**	**(77,812)**	**(126,553)**	**(199,962)**
BVPS (TWD)	**27.777**	**36.470**	**44.950**	**64.740**	**102.544**	**159.525**	**260.678**	**411.785**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	9.4	29.5	9.0	31.2	124.9	65.7	32.5	34.6
EBITDA (YoY)	(12.3)	69.1	18.6	18.5	129.3	82.3	43.8	40.8
Operating profit (YoY)	(15.0)	77.0	19.4	18.3	136.3	85.9	44.3	41.4
Net profit (YoY)	(6.8)	73.6	9.2	34.5	119.5	82.3	44.0	40.5
Core EPS (fully-diluted) (YoY)	(6.9)	73.5	9.2	34.3	119.5	82.3	44.0	40.5
Gross-profit margin	19.0	21.4	22.9	20.6	18.1	19.0	19.7	19.8
EBITDA margin	10.4	13.6	14.8	13.4	13.6	15.0	16.3	17.0
Operating-profit margin	9.1	12.5	13.7	12.3	12.9	14.5	15.8	16.6
Net profit margin	7.9	10.6	10.6	10.9	10.6	11.7	12.7	13.2
ROAE	31.3	45.4	39.1	39.0	56.1	65.3	58.6	51.5
ROAA	14.2	20.1	17.4	16.8	22.9	29.2	30.7	30.1
ROCE	33.8	48.7	47.0	43.4	67.7	80.7	72.8	64.5
ROIC	64.2	90.1	n.a	n.a	n.a	n.a	n.a	n.a
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	17.9	20.5	24.0	20.7	20.1	20.8	20.5	20.8
Accounts receivable (days)	61.0	57.8	55.2	55.3	44.4	39.3	38.9	38.7
Current ratio (x)	1.8	1.9	1.7	1.5	1.5	1.8	2.2	2.5
Net interest cover (x)	548.6	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	71.7	71.1	51.2	62.6	51.2	32.0	25.7	17.9
Free cash flow yield	0.1	1.0	1.9	0.8	3.5	4.1	7.1	10.0

Source: FactSet, Daiwa forecasts

Company profile

Founded in 1988, Accton is dedicated to the design and manufacturing of enterprise networking and communication products. With its long-term experience and expertise, Accton is one of the leading open-source networking ODM partners for major players worldwide, with particular focuses on data centres, telco carriers and campus networks. Major products include enterprise switches, metro access switches, network applications and wireless products.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	1	Accton's board has 7 directors, with 3 independent directors. The independent directors account for 43% of all directors. A total of 8 board meetings were held in 2025, and the average actual attendance rate was 95%. The backgrounds of independent directors are diversified and their competence includes business management, accounting, finance, and work experience in the medical industry. We deem the diversified background as a positive factor for the company's board quality. Besides, the Chairman and President are not the same person, which increases the board and executive management's quality. Based on its board structure and key executive hiring, we believe that Accton has already professionalised the family business by allowing external professionals to run the business for major shareholders.
	Capital management	1	Accton declared DPS of TWD15.0 in 2025, representing a 31.8% payout ratio. The ratio was lower than the 51.2% in 2024 and its historical range of 69-75% from 2018 to 2022. That said, it still points towards a friendly shareholder dividend policy, in our view. We attribute the lower payout ratio mainly to the sharp earnings growth and continued capacity investments in Taiwan and Vietnam amid US-China tensions. The DPS CAGR in the past 10 years was c.23%, which showcased Accton's capability in capital management. The continuous improvement in networking capabilities (eg, 400G and 800G switches), alongside expansion into AI accelerator modules, has helped it differentiate itself from other competitors and strengthen its position in the white-box switch supply chain for major US cloud service providers.
	Related party & transaction	1	In 2025, revenue from related parties accounted for 0.15% of total revenue, while purchases from related parties accounted for 2.0% of cost of sales. We see limited risk from related-party transactions.
S	Supply chain management	1	Like most vendors, Accton asks its suppliers to follow: 1) the hazard substance requirements of the RoHS, Reach and corporate social responsibilities (5 categories, including labour, health and safety, environmental, ethics and management system) required by the RBA Code of Conduct, and 2) QC08000 (Hazardous Substances Process Management), while the company conducts annual reviews to evaluate its suppliers' performance. To effectively track, communicate and manage its supply chain to manufacture green products, each supplier can use the eGreen system® platform, developed independently by Accton, to learn about environmental protection control and management requirements for components and materials.
S	Data security	2	To ensure information security for customers and the company, Accton obtained ISO/IEC 27001:2013 certification in 2016 and completed the transition to ISO/IEC 27001:2022 in 2024, with continued verification of its information security policies and controls in 2025. Apart from the global information security standards, Accton also takes measures to improve its information security, including:1) Implementing business continuity and disaster recovery mechanisms, including annual recovery drills for critical systems and databases. In 2025, the company achieved its target of recovering critical systems within 48 hours. 2) Conducting monthly vulnerability scans across company-wide servers, network equipment and core systems to identify potential security risks. Accton also conducts quarterly social engineering drills to strengthen employee awareness of cybersecurity threats. In 2025, Accton conducted four phishing simulation exercises involving over 13,000 participant attendances, achieving an average phishing safe rate of 93%. The company reported no major information security incidents or personal data breaches during the year.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 12 Nov 2026

Source: Daiwa, Company

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